

ELEMENTS

The A/D indicator is a single line that can take any value i.e. positive or negative. The direction and speed of the movement of the A/D indicator reflect whether the movement is currently backed by volumes or not. There is no other elements or parameters involved in the working of the AD indicator.


**POSITIVE
VALUE ONLY**


**GROWTH BACKED
BY VOLUME**

PURPOSE OF THE INDICATOR

A/D indicator's main purpose is to tell us whether or not the current movement is backed by volumes. If the trend is backed by volumes, it will require larger opposition to revert and as a result, the trend may continue. The opposite is true in case the trend is not backed by volumes.